

CARLSTAR GROUP LLC f/k/a	:	
CARLISLE TRANSPORTATION PRODUCTS, INC., and	:	
CTP TRANSPORTATION PRODUCTS, LLC,	:	
	:	
Complainants,	:	
	:	
v.	:	Docket No. 17-08
	:	
	:	
UTi, UNITED STATES, INC.,	:	
UTi, UNITED STATES, LLC, and	:	
DSV AIR & SEA, INC.	:	
	:	
Respondents.	:	
	:	

UTi, United States, LLC and DSV Air & Sea, Inc. (“DSV”), successors in interest to UTi, United States, Inc., (“UTi”) (collectively, “Respondents”), by and through Respondents’ attorneys, respectfully submit this Supplemental Memorandum in Support of their Motion to Dismiss (“Supplemental Memorandum”), and in response to the Preliminary Ruling issued by Your Honor on February 23, 2018 (the “February 23, 2018 Preliminary Ruling” or “Preliminary Ruling”).

Complainants, based in Franklin, Tennessee, serve as a supplier of tires and wheels for various markets, including agriculture, construction, ATV, high-speed trailer, and lawn and

garden. Compl. ¶ 1. Complainants filed the Verified Complaint on August 31, 2017 with the Federal Maritime Commission (“Commission” or “FMC”), alleging that Respondents violated certain provisions of the Shipping Act of 1984, as amended.

Following the filing of the Verified Complaint, Complainants and Respondents (each a “Party” and, collectively, “the Parties”) conferred in an attempt to resolve these issues without incurring the time and expense of a full proceeding. On September 27, 2017, the Parties filed a Joint Motion to Stay the Proceedings to resolve the matter through mediation with the Commission’s Consumer Affairs and Dispute Resolution Services (CADRS). On September 28, 2017, the Commission issued an Order staying the proceeding until October 26, 2017, and subsequently a second Order (the “Second Order”) staying the proceedings until December 1, 2017. The Second Order provided, “If the parties do not settle by December 1, 2017, Respondents must answer or otherwise respond to the Verified Complaint on or before December 8, 2017.” *See* Second Order Staying Proceeding for Limited Time, *1. On December 8, 2017 Respondents filed a Motion to Dismiss and supporting memorandum requesting dismissal of Carlstar’s claims in their entirety and with prejudice.

On December 26, 2017, Complainants filed an Opposition to Respondents’ Motion to Dismiss. On December 28, 2017, Respondents submitted a Motion for Extension of Time to File a Reply to the Opposition, which was granted by Order on December 29, 2017. On January 2, 2018, Your Honor filed an Amended Order which enlarged the time for Respondents to file a Reply Memorandum. The Amended Order also required Complainants to supplement their Opposition to Respondents’ Motion to Dismiss, by providing responses to a number of questions outlined in the Order. On January 17, 2018, Complainants filed their Supplemental Brief in Opposition. Respondents filed a Reply in January 24, 2018.

On January 31, 2018, Complainants filed a Sur-reply in Opposition to UTi's Motion to Dismiss, in which Complainants raised several new points which did not address matters discussed in the Reply and which went beyond the permissible scope of the Sur-reply, as outlined in the Amended Order from January 2, 2018. Respondents filed a Motion to Strike on February 14, 2018, which requested that Your Honor strike the Surreply as contrary to the January 2, 2018 Amended Order and disregard its contents for the purposes of the Motion to Dismiss. The Motion to Strike was granted on February 23, 2018 for those portions of Complainants' Sur-reply not addressing the operative date for the statute of limitations or Respondents' reply to Complainants' supplemental brief. See Order Striking Complainants' Sur-Reply, *4.

On February 23, 2018, Your Honor also issued the Preliminary Ruling regarding Respondents' Motion to Dismiss. Among other things, the Preliminary Ruling ordered Respondents to serve and file a memorandum answering a number of questions posed in the Preliminary Ruling. See Preliminary Ruling on Respondents' Motion to Dismiss, *27–28. Respondents are required to serve and file the Memorandum on or before March 9, 2018. As such, this Memorandum is timely filed.

ARGUMENT

A. Request for Reconsideration of “Preliminary Ruling – Subject Matter Jurisdiction”

The Preliminary Ruling provided that Respondents could include in their Memorandum a request for reconsideration of preliminary rulings issued in the document. *Id.* at *12 and 28. In particular, Respondents note that the Preliminary Ruling stated the following:

A party may request reconsideration of the preliminary rulings set forth in this document in its brief... A request for reconsideration should specify a change in material fact or applicable law, identify a substantive error in material fact in the

preliminary ruling, or address a finding, conclusion, or other matter upon which the party has not previously had the opportunity to comment or which was not addressed in the briefs or arguments of any party.

Id. at *12.

Respondents respectfully submit a request for reconsideration of this preliminary ruling regarding the lack of subject matter jurisdiction, and provide the following additional comments regarding this matter not yet addressed in the briefs or arguments of either Party. The Preliminary Ruling stated the following:

Construing UTi's argument as a facial attack on subject matter jurisdiction, the Complaint alleges that UTi, an ocean transportation intermediary licensed by the Commission to engage in international transportation of cargo by water, violated the Shipping Act while transporting cargo internationally for Carlstar. *It appears that this sufficiently alleges the Commission's subject matter jurisdiction.*

Id. at *16 (emphasis added).

Respondents confirm that their challenge to the Complaint with respect to its claim of the Commission's subject matter jurisdiction is a facial challenge. When evaluating a facial challenge to subject matter jurisdiction under Federal Rule of Civil Procedure (FRCP) 12(b)(1), a court should use the same plausibility standard outlined in *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544 (2007), and *Ashcroft v. Iqbal*, 556 U.S. 662 (2009), to assess in response to a challenge under FRCP 12(b)(6) whether a complaint provides sufficient factual allegations to allege a plausible claim for relief. In *Iqbal*, the Court articulated a two-pronged approach for FRCP 12(b)(6) challenges, whereby a court first identifies the well-pleaded factual allegations by discarding the pleadings that are "no more than conclusions," and then determines whether the remaining well-pleaded factual allegations "plausibly give rise to an entitlement of relief." *Iqbal*, 556 U.S. at 679.

It is well-founded in the jurisprudence of U.S. circuit courts that a court should use the same plausibility standard when evaluating a facial challenge to subject matter jurisdiction brought pursuant to FRCP 12(b)(1). *See Silha v. ACT, Inc.*, 807 F.3d 169, 173–74 (7th Cir. 2015); *In re Schering Plough Corp. Intron/Temodar Consumer Class Action*, 678 F.3d 235, 243–44 (3rd Cir. 2012); *Amidax Trading Grp. v. S.W.I.F.T. SCRL*, 671 F.3d 140, 145 (2d Cir. 2011); *Román–Oliveras v. P.R. Elec. Power Auth.*, 655 F.3d 43, 45 n. 3, 49 (1st Cir. 2011); *Lane v. Halliburton*, 529 F.3d 548, 557 (5th Cir. 2008); *Stalley v. Catholic Health Initiatives*, 509 F.3d 517, 521 (8th Cir. 2007). *But see Maya v. Centex Corp.*, 658 F.3d 1060, 1067–69 (9th Cir. 2011) (distinguishing between evaluation of an alleged failure to state a claim pursuant to a 12(b)(6) motion and evaluation of an alleged failure to allege subject matter jurisdiction in a constitutional standing context pursuant to a 12(b)(1) motion).

Respondents respectfully contend that it would clearly be insufficient for Complainants to allege a violation of the Shipping Act at large, without specifying specific portions of the Act and/or providing particularized facts in support which could plausibly give rise to a determination of subject matter jurisdiction. *Cf. id.*; 46 C.F.R. § 502.12. To sufficiently invoke the subject matter jurisdiction of the Commission, a complainant must supply a minimum level of specificity regarding an alleged violation or violations of the Shipping Act, most importantly the particular provisions that were allegedly violated. Complainants’ invocation of the subject matter jurisdiction of the Commission cannot be grounded in no more than a conclusory accusation of alleged violation of the statute at large; to do so would be speculative in the extreme and require knowledge of nothing but the name of the statute.

Instead, whether the Commission has subject matter jurisdiction over the Verified Complaint must stand or fall based on the legal and factual sufficiency of Complainants’

particular allegations.¹ To the extent that the February 23, 2018 Preliminary Ruling suggests that an assertion that UTi “violated the Shipping Act while transporting cargo internationally for Carlstar” is in and of itself sufficient to plausibly give rise to the Commission’s subject matter jurisdiction, Respondents respectfully request reconsideration of this preliminary ruling.

RESPONSES

Respondents provide written responses to Your Honor’s questions as follows:

Question 1. Did UTi provide service described in the Carlisle Transportation Products Agreement in accordance with the rates, charges, classifications, rules, and practices contained in a tariff?

Respondent’s Answer to Question 1:

No.

Question 2. Did UTi provide service described in the Carlisle Transportation Products Agreement in accordance with the rates, charges, classifications, rules, and practices contained in a service contract?

Respondents’ Answer to Question 2:

No.

Question 3. Did UTi provide service described in the Carlisle Transportation Products Agreement in accordance with the rates, charges, classifications, rules, and practices contained in an NVOCC Service Arrangement as permitted by and in compliance with 46 C.F.R. Part 531?

Respondents’ Answer to Question 3:

¹ To this end, Complainants have identified three provisions in the Shipping Act that UTi allegedly violated. Even so, Complainants provide little or no particular facts for any of these provisions which may plausibly result in a valid claim, even if presumed true.

Your Honor has already issued a preliminary ruling with regards to Complainant’s allegation pursuant to 46 U.S.C. § 41102(c). Respondents do not request a reconsideration of the preliminary ruling that Complainants failed to assert a violation of 46 U.S.C. § 41102(c). Indeed, this allegation was abandoned by Complainants in their subsequent filings regarding the Motion to Dismiss. Moreover, in their Verified Complaint Complainants failed to allege that UTi’s actions were related to the receiving handling, storage, or delivery of cargo. 46 U.S.C. § 41102(c); *see also* Preliminary Ruling, *19.

Respondents understand that rulings have not yet been issued, preliminary or otherwise, regarding the allegations of violations of 46 U.S.C. §§ 41104(2) and 41104(4). Respondents reiterate that these allegations fail to state a claim.

No.

Question 4. Did UTi provide service described in the Carlisle Transportation Products Agreement in accordance with the rates, charges, classifications, rules, and practices contained in a NVOCC Negotiated Rate Arrangement as permitted by and in compliance with 46 C.F.R. Part 532?

Respondents' Answer to Question 4:

No.

Question 5. Did UTi provide service described in the Carlisle Transportation Products Agreement in accordance with the rates, charges, classifications, rules and practices that was not a tariff, a service contract, an NVOCC Service Arrangement, or an NVOCC Negotiated Rate Arrangement? If so, how does that comply with Section 41104(2)(A) of the Shipping Act?

Respondents' Answer to Question 5:

UTi provided Carlstar with services described in the Carlisle Transportation Products Agreement in accordance with the terms of the Agreement, which states in Appendix A with respect to payment that “all rates fees and charges are between UTi & Carlisle. That those rates, fees and charges mirror the actual rates, fees and charges between UTi and each Ocean Carrier.” See Compl. App’x A, *10. In addition to passing through actual rates, fees and charges from the respective ocean carriers, UTi charged a fixed ocean management fee, certain other specified charges such as a brokerage fee (as applicable), and fixed handover charges and container management fees. See Compl. Ex. 1, App’x A, *10 and *12. In this way UTi functioned in a manner akin to an ocean freight forwarder (albeit for inbound shipments to the United States), negotiating favorable rates for Carlstar with ocean carriers, passing through those rates and surcharges without any mark-up and providing for the arrangement of transportation services in exchange for a management fee.

Despite UTi essentially functioning as an ocean freight forwarder with respect to the ocean import services provided to Carlstar, and UTi's practice of passing through all rates, fees and charges to Carlstar obtained from the respective underlying ocean carrier, UTi concedes that its overseas offices and agents, due to a lack of understanding of U.S. law and FMC regulations, did issue house bills of lading for the shipments handled for Carlstar and appeared on the master bills of lading issued by the ocean carriers. In this respect only UTi's services for Carlstar resembled those of a non-vessel-operating common carrier.

Given that the essential character of UTi's services for Carlstar were those of an ocean freight forwarder, the respective obligations of the Parties were governed by parameters and conditions set forth in the Carlisle Transportation Products Agreement. This Agreement did not constitute a valid tariff, service contract, NVOCC Service Arrangement or NVOCC Negotiated Rate Agreement. Instead the Agreement was a commercial contract, the alleged breach of which should be resolved by arbitration per the Agreement's specific dispute resolution provision.

In summary, although UTi issued bills of lading to Carlstar pursuant to its NVOCC license rather than maintaining a delineation between its NVOCC and ocean freight forwarding business, due to a lack of understanding in its overseas offices of the key differences between NVOCC and ocean freight forwarder services, UTi's essential functions with respect to Carlstar were those of an ocean freight forwarder. The Agreement between UTi and Carlstar was clear that UTi's obligation was primarily to provide "freight forwarding, brokerage, contract logistics and consulting services." Compl. Ex. 1, *1. To this end, UTi adhered to the terms of the Agreement

with Carlstar for ocean freight forwarding services and charged for its services as contemplated in the Agreement. As an Agreement for ocean freight forwarding services, the Agreement and the services provided thereunder do not fall within the scope of 46 U.S.C. § 41104(2)(A).

Question 6. Explain the process by which rates charged pursuant to the Carlisle Transportation Products Agreement were established with the vessel-operating common carriers and the corresponding rates between UTi and Carlisle.

Respondents' Answer to Question 6:

As agreed upon between the Parties, UTi negotiated client-specific rates on behalf of Carlstar for any and all shipments handled by those underlying ocean carriers for Carlstar. See Compl. Ex. 1, App'x A, *10 (“UTi will conduct joint Carlisle UTi RFP/negotiations for ocean contract required”). UTi then provided ocean freight forwarding services to Carlstar in accordance with the Carlisle Transportation Products Agreement, and passed through the applicable client-specific rates, fees and charges charged by the respective underlying ocean carriers. As noted in the preceding question, UTi passed through actual rates, fees and charges from the ocean carriers without any mark-up by UTi. In exchange for its services, UTi charged a fixed ocean management fee and certain other specified charges or fixed fees, such as a brokerage fee, handover charges and container management fees.

Question 7. Complainants alleged that “[t]he Parties executed a Third Amendment on or before June 2015 to extend the expiration of the 2014 Second Amendment to December 31, 2015 (‘2015 Third Amendment’).” (Complaint ¶ 21.) Complainants also allege that “Carlstar conducted an internal audit of the pass-through and miscellaneous charges paid by Carlstar to UTi from January 2014 through April 2016.” (Complaint ¶ 31.) Did some UTi-Carlisle shipments take place in 2016? If so, were rates charged pursuant to an extension of the Carlisle Transportation Products Agreement or pursuant to some other source?

Respondents' Answer to Question 7:

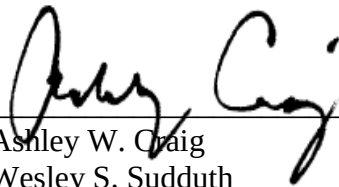
Respondents understand that approximately 30 shipments took place on behalf of Carlstar during January 2016. While the Carlisle Transportation Products Agreement, *i.e.* the “2015 Third Amendment,” ended on December 31, 2015, the manner of service and invoicing for these shipments adhered to the latest version of the Agreement. The Parties did not execute another amendment to the Agreement to encompass formally these shipments; rather, these shipments were handled in accordance with the standard course of dealing established between the Parties during the preceding years.

CONCLUSION

Respondents respectfully submit this Supplemental Memorandum in support of the Motion to Dismiss, served and filed by Respondents on December 8, 2017, and in response to the February 23, 2018 Preliminary Ruling.

Dated: March 9, 2018

Respectfully submitted,



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CERTIFICATE OF SERVICE

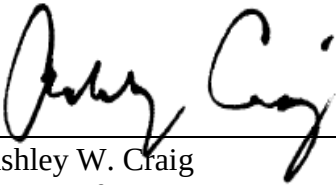
I hereby certify that I have this day served the foregoing document upon all parties noted below by mailing via electronic mail a copy to each such person:

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Dated at Washington, D.C. this 9th day of March 2018.



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